

Microfinance Institution Grameen Koota Combats Roadblocks with Open Source

Open source proved to be the proverbial magic wand for Bengaluru-based microfinance institution, Grameen Koota, as the company went the FOSS way to avoid exorbitant licensing costs and the huge expense of maintaining infrastructure.



The open source team at Grameen Koota

It's not often that enterprises effectively manage to overcome the odds stacked against them and eventually succeed. But Bengaluru-headquartered Grameen Koota, a microfinance institution that provides financial services to economically weak clients, chose to tread the unexplored open source route to tackle issues like managing its basic operations and massive licensing costs. Today, Grameen Koota has grown to 161 branches and has a clientele of over half a million. The company was also ranked 19th in the first ever list of the top 50 microfinance institutions in the world by *Forbes*. Suresh K Krishna, managing director of Grameen Koota, talked about the company's tryst with FOSS.

Making the right moves with FOSS

Since its inception in 1999 to the year 2007, the company was using specialised proprietary software called Portfolio Tracker for its Management Information System (MIS) that had been developed by Grameen Communications, Bangladesh. Grameen Koota received Rs 4.4 million initially as seed capital from the Grameen Trust that works in tandem with the Grameen Bank in Bangladesh. As the number of clients grew over a period of time,

the system could not cope with maintaining the transaction data.

It was then that the company stumbled upon an open source financial software, MIFOS (Microfinance Open Source), an initiative by the Grameen Foundation, which is now widely used by the microfinance industry worldwide. The software helps microfinance institutions in client management, portfolio management, loan repayment tracking, fee and savings transactions, reporting and more. As Krishna explains, "Microfinance institutions handle large volumes of data as they cater to the needs of millions of small borrowers on a weekly basis. There was no off-the-shelf software to manage our portfolio. The ones available in the market either were offered by small software companies or there was the option of very expensive high-end banking software. The long term sustainability of the smaller firms was risky and we did not want to get locked in with a software company. The high-end banking software was very expensive and we couldn't afford it. Hence we began thinking about building software ourselves. But the risks were high and we might not have been able to build a state-of-art MIS system that could scale into the